

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

CMI DISTRIBUTION, INC., <i>Complainant</i> , v. SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN AS SBA CONSOLIDATORS, INC.), AND LAS FREIGHT SYSTEMS LTD., <i>Respondents</i>	DOCKET NO. 17-05
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Served: May 24, 2019

BEFORE: Clay G. GUTHRIDGE, *Administrative Law Judge*

ORDER GRANTING IN PART AND DENYING IN PART MOTION TO STRIKE

On October 30, 2017, the undersigned entered a Scheduling Order for this proceeding. The Order set forth the dates for Complainant to file its brief, proposed findings of fact, and appendix, Respondents to file briefs, proposed findings of fact, appendix, and responses to Complainant's proposed findings of fact, and Complainant to file a reply brief and responses to Respondents' proposed findings of fact. *CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ Oct. 21, 2017) (Scheduling Order). Complainant CMI Distribution, Inc. (CMI) filed its opening papers and respondent Service by Air, Inc. (SBA), Radiant Customs Services Inc. formerly known as SBA Consolidators, Inc. (Radiant) filed their responses pursuant to that order.

The parties had long known that this proceeding concerns twenty-nine individual shipments of maritime containers from China to the United States. *CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ Sept. 21, 2017) (Notice to the Parties and Order to Schedule Conference). Neither CMI nor Respondents included the shipping documents for each of the twenty-nine shipments grouped together to facilitate an understanding of what occurred on the shipments. On May 16, 2018, the undersigned vacated the date for CMI to file its reply papers and ordered the parties to prepare a joint appendix including those documents arranged by shipment and referencing the FLDR number for the container in Complaint Exhibit 1. The order revised the filing date for CMI to file its reply and provided opportunity for Respondents to file a sur-reply limited to the Section of CMI's Reply Brief Addressing the Evidence Included in the Joint Supplemental Appendix. *CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ May 16, 2018) (Order Amending Scheduling Order).

When CMI filed its reply papers, it included a filing entitled Deficiencies in SBA's Responses to CMI's Proposed Findings of Fact (Doc. 52 on the Commission's electronic

docket). This filing is not contemplated by the Scheduling Order. CMI includes a new claim in this filing: Respondents charged amounts for ocean freight not included in a tariff and that CMI should receive a reparation award for the overpayment. (Complainant's Reply Brief (Doc. 53) at 29-33.) This claim was not articulated in the Complaint or included in CMI's opening brief. CMI also included new evidence in the form of nine supplemental exhibits not previously included in the record. (CMI's Reply Brief Ex. 1-9 (Doc. 53).) On July 5, 2018, Respondents filed a motion to strike the Deficiencies memorandum, the new argument on damages, and the exhibits. (Motion to Strike New Evidence and Arguments (Doc. 57).) Complainants filed a reply.

1. Motion to strike document Deficiencies in SBA's Responses to CMI's Proposed Findings of Fact.

The Scheduling Order sets forth the expected contents of proposed findings of fact.

[The Proposed Findings of Fact] shall set forth proposed findings of fact in numbered paragraphs. Each paragraph shall be limited as nearly as practicable to a single factual proposition. Each factual proposition shall be followed by an exact citation to evidence that the party contends will support the proposed finding of fact; *e.g.*, a page number in the appendix.

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[The Responses to Proposed Findings of Fact] shall set forth verbatim each proposed finding of fact in another party's proposed findings of fact, then admit or deny the proposed finding. Each proposed finding of fact that an opposing party denies shall be followed by an exact citation to evidence that the opposing party contends will rebut the evidence the proposing party claims supports the proposed finding of fact.

CMI v. Radiant/SBA, FMC No. 17-05, Order at 3 (ALJ Oct. 21, 2017) (Scheduling Order). To the extent that any proposed finding of fact or response goes beyond stating fact to include argument or otherwise is not supported by the cited supporting documents, it is discounted. Any argument should have been included in the Reply Brief. The motion to strike Deficiencies in SBA's Responses to CMI's Proposed Findings of Fact is granted.

2. Motion to strike claim for a reparation award based on alleged unlawful ocean freight charges.

The Complaint does not allege that Respondents imposed unlawful ocean freight charges. The opening brief does not make a claim for unlawful ocean freight charges. CMI raises this claim for the first time in its Reply Brief at 29-33.

Respondents argue:

It is well established that new arguments raised for the first time in a reply brief will not be considered. *See, e.g., Herbert v. Nat'l Acad. of Scis.*, 974 F.2d 192, 196 (D.C. Cir. 1992) (“This Court, of course, generally refuses to entertain arguments raised for the first time in an appellant’s reply brief.”); *Jurich v. Compass Marine, Inc.*, 906 F. Supp. 2d 1225, 1230 (S.D. Ala. 2012) (“District courts, including this one, ordinarily do not consider arguments raised for the first time on reply”); *cf.* 46 C.F.R. § 502.70(c) (“A reply [to the response to a dispositive motion] may not raise new grounds for relief or present matters that do not relate to the response and must not reargue points made in the opening motion.”). In its Reply, CMI argues for a different measure of damages than the one it proposed in its Opening Brief. *See* Reply at 29-33. It supports its new damages claim with charts CMI itself created, and which include unsubstantiated assumptions about 100% markups for various demurrage charges. *See id.*; Suppl. Exs. 6-8. It also asserts, for the first time, that when considering damages, the Presiding Officer should presume that SBA committed “outright fraud.” *See* Reply at 32-33.

(Motion to Strike at 3-4.) In its opposition to the motion, CMI states that “SBA is correct that CMI had not been aware that SBA was marking up the underlying carriers, and other NVOCCs’, freight charges until all of the documents in the Joint Appendix had been compiled.” (CMI’s Opposition to SBA’s Motion to Strike (Doc. 58) at 4.) CMI states that “CMI compiled all of the documents in the Joint Appendix.” (CMI Reply Brief at 14 n.18.)

Parties assess their litigation strategies and settlement decisions based on the claims prosecuted by the plaintiff or complainant. CMI had the documents included in the Joint Appendix in its possession before it filed its opening brief, but made no claim regarding alleged ocean freight charges. CMI apparently did not review the documents with sufficient detail to realize it had this claim until required it to do so by the order of the undersigned to prepare the joint appendix. CMI’s failure to review the documents is not grounds to permit it to include a claim for reparations for overpaying ocean freight at this late date. It would be unfair to Respondents to add a new claim for damages after the parties have briefed the merits of this case. The motion to strike the claim for overpaying ocean freight is granted.

3. Motion to strike exhibits.

Respondents argue:

CMI submitted nine supplemental exhibits containing new evidence. Perhaps most egregious is the new, undated Declaration of Mike Gallo in Support of Judgment Against SBA. *See* Suppl. Ex. 4. CMI did not name Mr. Gallo as a witness in its Initial Disclosures or in response to SBA’s discovery requests, and

his declaration is deficient as a matter of law because it is undated. *See* 28 U.S.C. § 1746. “When a declarant fails to include a signed *and dated* declaration under penalty of perjury, courts will disregard the substance of the statement.” *Giglio Sub. S.N.C. v. Carnival Corp.*, No. 12-21680-CIV, 2012 AMC 2705, 2716 (S.D. Fla. Sept. 26, 2012) (emphasis added). Under these circumstances, the Presiding Officer should strike it.

(Motion to Strike at 4.) CMI describes the nine exhibits and states argument why they are appropriately part of the record. (CMI Opposition to SBA’s Motion to Strike (Doc. 58) at 2-3.)

Exhibits 1 through 3 and exhibit 5 are similar and arguably cumulative to exhibits already in the record. They are admitted. Exhibit 4 is a declaration of Mike Gallo, the president of CMI who founded it in 2002. The declaration directly relates to matters argued in CMI’s opening brief and should have been filed with that brief. Exhibit 4 is stricken. Exhibits 6, 7, and 8 are charts based on documents already in the record. They are admitted as summaries of those documents. Exhibit 9 consists of three SBA air waybills. While many of the entries on each exhibit are illegible, the SBA air waybill numbers are legible. Checking the air waybill numbers against the order dismissing shipments indicates that the air waybills are not for shipments that are part of this proceeding. *See CMI v. Radiant/SBA*, FMC No. 17-05 (ALJ Sept. 21, 2017) (Notice to the Parties and Order to Schedule Conference) *and* Complaint Exhibit 1, FLDR 6-8. Therefore, Exhibit 9 is stricken.

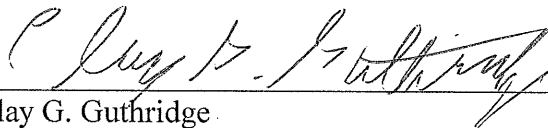
O R D E R

Upon consideration of Respondents’ Motion to Strike New Evidence and Arguments, the opposition thereto, and the record herein, it is hereby

ORDERED that the motion be **GRANTED IN PART** and **DENIED IN PART**.

- (1) CMI’s Deficiencies in SBA’s Responses to CMI’s Proposed Findings of Fact is stricken.
- (2) CMI’s claim for reparations allegedly caused by overpaying ocean freight is stricken.
- (3) Exhibits 4 and 9 attached to CMI’s Reply Brief are stricken.

In all other respects, the motion to strike is denied.


Clay G. Guthridge
Administrative Law Judge